BLADES PLC CASE STUDY

Use of long-term foreign financing

Recall that Blades plc is considering the establishment of a subsidiary in Thailand to manufacture 'Speedos', Blades' primary roller blade product. Alternatively, Blades could acquire an existing manufacturer of roller blades in Thailand, Skates'n'Stuff. At the most recent meeting of the board of directors of Blades plc, the directors voted to establish a subsidiary in Thailand because of the relatively high level of control it would afford Blades.

The Thai subsidiary is expected to begin production by early next year, and the construction of the plant in Thailand and the purchase of necessary equipment to manufacture Speedos are to commence immediately. Initial estimates of the plant and equipment required to establish the subsidiary in Bangkok indicate costs of approximately 550 million Thai baht. Since the current exchange rate of the baht is £0.0153, this translates to a pound cost of £8.43 million. Blades currently has £1.76 million available in cash to cover a portion of the costs. The remaining £6.67 million (436 million baht), however, will have to be obtained from other sources.

The board of directors has asked Ben Holt, Blades' financial director, to line up the necessary financing to cover the remaining construction costs and purchase of equipment. Holt realizes that Blades is a relatively small company whose stock is not widely held. Furthermore, he believes that Blades' stock is currently undervalued because the company's expansion into Thailand has not been widely publicized at this point. Because of these considerations, Holt would prefer debt to equity financing to raise the funds necessary to complete construction of the Thai plant.

Ben Holt has identified two alternatives for debt financing: issue the equivalent of £8.43 million yen denominated notes or issue the equivalent of approximately £8.43 million baht-denominated notes. Both types of notes would have a maturity of five years. In the fifth year, the face value of the notes will be repaid together with the last annual interest payment.

Due to recent unfavourable economic events in Thailand, expansion into Thailand is viewed as relatively risky; Holt's research indicates that Blades would have to offer a coupon rate of approximately 10% on the yen-denominated notes to induce investors to purchase these notes. Conversely, Blades could issue baht-denominated notes at a coupon rate of 15%. Whether Blades decides to issue baht- or yen-denominated notes, it would use the cash flows generated by the Thai subsidiary to pay the interest on the notes and to repay the principal in five years. For example, if Blades decides to issue yen-denominated notes, it would convert baht into yen to pay the interest on these notes and to repay the principal in five years.

Although Blades can finance with a lower coupon rate by issuing yen-denominated notes, Ben Holt suspects that the effective financing rate for the yen-denominated notes may actually be higher than for the baht-denominated notes. This is because forecasts for the future value of the yen indicate an appreciation of the yen (versus the baht) in the future. Although the precise future value of the yen is uncertain, Holt has compiled the following probability distribution for the annual percentage change of the yen versus the baht:

Annual % change in yen (versus the baht)	Probability
0%	20%
2	50
3	30

Holt suspects that the effective financing cost of the yen-denominated notes may actually be higher than for the baht-denominated notes once the expected appreciation of the yen (versus the baht) is taken into consideration.

Holt has asked you, a financial analyst at Blades plc to answer the following questions for him:

1 Given that Blades expects to use the cash flows generated by the Thai subsidiary to pay the interest and principal of the notes, would the effective financing cost of the baht-denominated notes be affected by exchange rate movements? Would the effective financing cost of the yen-denominated

notes be affected by exchange rate movements? How?

2 Construct a spreadsheet to determine the annual effective financing percentage cost of the yen-denominated notes issued in each of the three scenarios for the future value of the yen. What is the probability that the financing cost of issuing yen-denominated notes is higher than the cost of issuing baht-denominated notes?

3 Using a spreadsheet, determine the expected annual effective financing percentage cost of issuing yen-denominated notes. How does this expected financing cost compare with the expected financing cost of the baht-denominated notes?

4 Based on your answers to the previous questions, do you think Blades should issue yen- or baht-denominated notes?

5 What is the tradeoff involved?

SMALL BUSINESS DILEMMA

Long-term financing decision by the Sports Exports Company

The Sports Exports Company continues to focus on producing basketballs in Ireland and exporting them to the United Kingdom. The exports are denominated in pounds, which has continually exposed the firm to exchange rate risk. It is now considering a new form of expansion where it would sell specialty sporting goods in the United States. If it pursues this US project, it will need to borrow long-term funds. The dollar-denominated debt has an interest rate that is slightly lower than the pound-denominated debt.

1 Jim Logan, owner of the Sports Exports Company, needs to determine whether dollar-denominated debt or pound-denominated debt would be most appropriate for financing this expansion, if he does expand. He is leaning toward financing the US project with dollar-denominated debt, since his goal is to avoid exchange rate risk. Is there any reason why he should consider using pound-denominated debt to reduce exchange rate risk?

2 Assume that Jim decides to finance his proposed US business with dollar-denominated debt, if he does implement the US business idea. How could he use a currency swap along with the debt to reduce the firm's exposure to exchange rate risk?